

Predicted Paper 1 – Hard

GCSE (9–1) Economics

J205/01 Introduction to Economics

Time allowed: 1 hour 30 minutes

You can use:

- a scientific or graphical calculator
- an HB pencil

Please write clearly in black ink. Do not write in the barcodes.

Centre number Candidate number

First name(s) _____

Last name _____

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. You can use extra paper if you need to, but you must clearly show your candidate number, the centre number and the question numbers.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Answer all the questions. Write your answer in the box provided at the end of each question.

1 Which of these is most likely to be classed as a free good?

- A Fresh water from a mountain stream
- B Bottled water from a shop
- C Tap water supplied to a home
- D Rainwater collected in a tank for later sale

Your answer ☐ [1]

2 A bakery uses flour, an oven, a baker and an owner taking risks. Which list correctly identifies the factors of production in the order land, labour, capital, enterprise?

- A Baker, oven, flour, owner
- B Flour, baker, oven, owner
- C Oven, flour, owner, baker
- D Owner, baker, flour, oven

Your answer ☐ [1]

3 The table shows the output of a firm as it hires more workers. Workers: 1, 2, 3, 4 Total output: 10, 25, 36, 44 Which worker adds the most additional output?

- A First
- B Second
- C Third
- D Fourth

Your answer ☐ [1]

4 The price of houses has risen significantly while interest rates have also risen. The most likely effect on the labour market in the construction industry is

- A an increase in demand for construction workers
- B a decrease in the supply of construction workers
- C an increase in wages regardless of demand
- D no change, as these markets are unrelated

Your answer ☐ [1]

5 A train operator increases ticket prices by 10%. The number of passengers falls by 4%. The price elasticity of demand for the tickets is

- A 0.4 – price inelastic
- B 0.4 – price elastic
- C 2.5 – price inelastic
- D 2.5 – price elastic

Your answer ☐ [1]

6 Which of the following is not a condition for a market to be perfectly competitive?

- A Many buyers and sellers
- B Products that are almost identical
- C Easy entry and exit for firms
- D A few very large firms setting the price

Your answer ☐ [1]

7 A supermarket chain has significant market power and can influence the price it pays its suppliers. This is an example of a

- A monopoly in the product market
- B monopoly in the labour market
- C monopsony in the factor market
- D perfectly competitive firm

Your answer ☐ [1]

8 In the long run, as a firm grows beyond the optimum size, its average costs may start to rise. This is known as

- A economies of scale
- B diseconomies of scale
- C perfect competition
- D productive efficiency

Your answer ☐ [1]

9 A firm has total revenue of £120,000 and total costs of £95,000. What is the firm's profit margin (profit as a percentage of total revenue)?

- A 20.8%
- B 26.3%
- C 79.2%
- D 126.3%

Your answer ☐ [1]

10 A government imposes a tax on producers of a good with price inelastic demand. The most likely outcome is that

- A consumers will bear most of the tax through higher prices
- B producers will bear most of the tax with little price rise
- C the good will no longer be produced
- D the market will reach a new equilibrium with lower prices

Your answer ☐ [1]

11 In a labour market, an increase in the productivity of workers is most likely to

- A shift the labour supply curve to the left
- B shift the labour supply curve to the right
- C shift the labour demand curve to the left
- D shift the labour demand curve to the right

Your answer ☐ [1]

12 Which of the following statements about price signals is true?

- A Rising prices signal producers to reduce output
- B Falling prices signal consumers to demand less
- C Rising prices signal that more resources should be used in that market
- D Price signals only affect consumers, not producers

Your answer ☐ [1]

13 An economy moves workers from manufacturing into services. This is best described as

- A a primary sector shift
- B structural change
- C perfect competition
- D international trade

Your answer ☐ [1]

14 Two firms in an oligopoly agree to charge the same high price. This is best described as

- A price competition
- B productive efficiency
- C collusion
- D specialisation

Your answer ☐ [1]

15 The demand for a good is price elastic. A firm reduces the price of the good by 5%. The most likely effect on total revenue is that it will

- A fall by more than 5%
- B fall by 5%
- C rise because quantity demanded rises by more than 5%
- D stay the same because PED is greater than 1

Your answer ☐ [1]

16 Which of these is most likely to be a fixed cost for a hairdressing business?

- A Payments for electricity used during cutting
- B Wages of part-time staff paid by the hour
- C Rent paid for the salon premises
- D Shampoo used on customers

Your answer ☐ [1]

17 A central bank is best described as

- A a commercial bank that is very large
- B a bank that operates only for businesses
- C a bank that manages the money supply and sets the base rate for the economy
- D an insurance company regulated by the government

Your answer ☐ [1]

18 A government builds a new high-speed rail line linking two cities to stimulate business investment in a region. This is an example of

- A a purely private good
- B a merit good only
- C a public sector project that aims to improve economic sustainability
- D a good with perfectly inelastic supply

Your answer ☐ [1]

19 A rise in the national minimum wage is most likely to

- A increase the quantity of labour demanded
- B decrease the quantity of labour demanded in affected industries
- C shift the demand curve for labour to the right
- D have no impact on the labour market

Your answer ☐ [1]

20 The main difference between investment and saving for a household is that

- A investment uses money to purchase assets expected to generate a return, while saving keeps money aside for future use
- B saving always takes place in a bank, while investment always takes place in the stock market
- C only firms can invest, while only households can save
- D investment and saving mean the same thing

Your answer ☐ [1]

SECTION B

Answer all the questions.

21 Extract 1

The electric vehicle (EV) market

Demand for electric vehicles (EVs) has grown rapidly in recent years. Governments in many countries have announced plans to ban the sale of new petrol and diesel cars within the next ten years. Consumers have also become more aware of environmental issues and the cost of running petrol-powered cars.

EVs use lithium batteries. Lithium is a scarce resource. Global demand for lithium has pushed up its price, which has raised the cost of producing EVs. Despite this, EV manufacturers have increased production to capture a larger share of a growing market.

The market for EVs is becoming more competitive. New entrants, including manufacturers from China, are putting pressure on established brands to compete on price and on non-price factors such as vehicle range, charging speed and in-car technology.

(a) Explain what is meant by a scarce resource.

[2]

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(b) Explain one difference between price competition and non-price competition.

[2]

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[6]

(d)

(i) Explain how rising lithium prices could affect the cost of producing EVs.

[2]

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(ii) Explain one reason why EV manufacturers have increased production despite higher input costs.

[2]

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[6]

22 Extract 2

A technology startup

Priya and Marco run Cloudline, a technology startup that produces accounting software for small businesses. Priya writes the code and Marco is responsible for sales and marketing. This division of labour has helped them grow quickly.

Cloudline has secured a contract with a national retailer to deliver the software to 1,000 of the retailer's stores. The agreed price is £90 per store.

To fulfil this contract, Priya and Marco estimate the following costs:

Cost item	Total cost (£)
Staff wages	35 000
Office rent and utilities	8 000
Software licenses	12 000
Marketing	6 000

Priya and Marco are deciding whether to hire two additional developers to help expand the business. This would allow them to offer more services and compete with larger software firms. Marco is keen to grow quickly, but Priya is concerned about the risks of expansion.

(a) Explain what is meant by a startup.

[2]

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(b) Calculate the profit or loss Cloudline will make on the contract. Show your working.

[2]

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Answer = £ _____

[6]

[illegible]

(d)

(i) Explain one advantage to Cloudline of division of labour.

[2]

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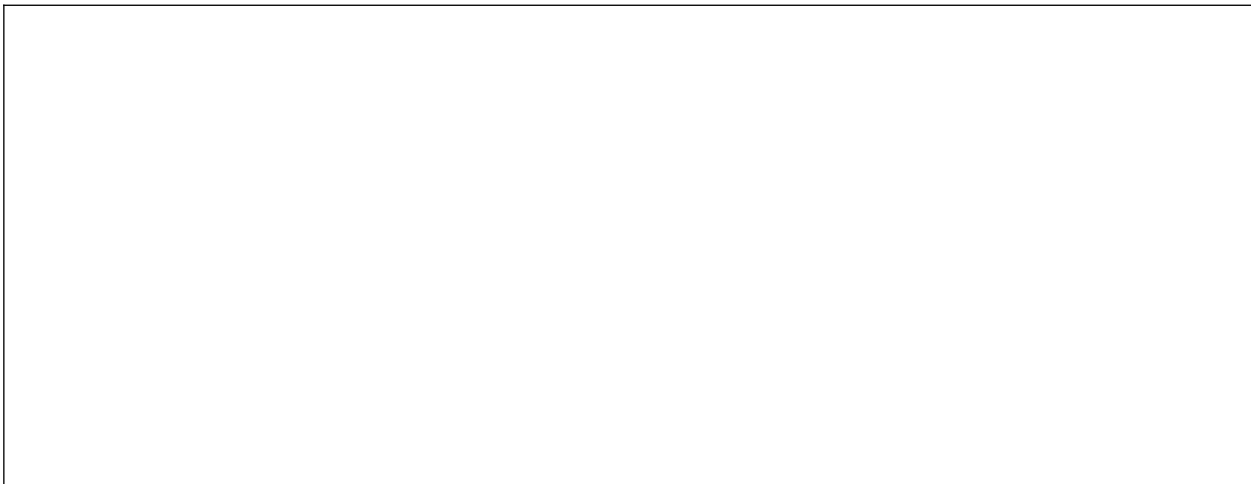
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(ii) Draw and label a diagram showing the likely change in demand for Cloudline's software if larger rivals enter the market.

[2]

Quantity on the horizontal axis; Price on the vertical axis.



(iii)* Evaluate the benefits for Cloudline of expanding the business by hiring additional developers. Use the information given in Extract 2 and your own knowledge.

[6]

This image shows a full page of dot grid paper. The background is white, and it is covered with a regular pattern of small, dark grey dots. The dots are arranged in perfectly horizontal rows and vertical columns, creating a precise grid across the entire surface. There are no margins, text, or other markings present.

23 Extract 3

A regional airline

SkyRoute is a regional airline operating short-haul flights in Europe. SkyRoute competes with several other low-cost airlines. Its owners, Léa and Tomas, believe the business needs to compete more effectively on both price and non-price factors.

Five years ago, SkyRoute borrowed £4 million from a commercial bank to buy aircraft. The loan has a variable interest rate. When they borrowed, the rate was 3.5%, meaning monthly interest payments of £11 666.67.

The Bank of England has now raised the base rate. SkyRoute's interest rate will rise to 6% from next month. Léa and Tomas are concerned about the higher payments. They are considering specialising in business travel, which tends to have more price inelastic demand.

They are also considering whether to cut routes that are making low profits so they can focus resources elsewhere.

(a) Explain what is meant by price inelastic demand.

[2]

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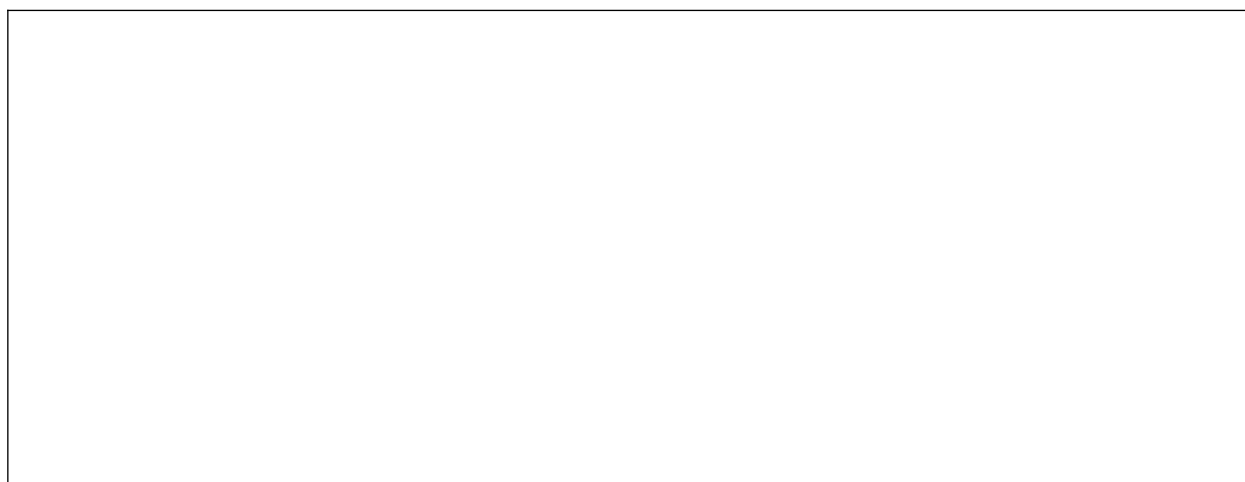
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(b) Draw and label a diagram showing the difference between a price elastic demand curve and a price inelastic demand curve for SkyRoute's flights.

[2]

Quantity on the horizontal axis; Price on the vertical axis.



[6]

(d)

(i) Calculate SkyRoute's new monthly interest payment after the interest rate has risen to 6%. Show your working.

[2]

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Answer = £ _____

(ii) Explain the opportunity cost to SkyRoute of cutting routes that are making low profits.

[2]

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(iii)* Evaluate the benefits to SkyRoute of specialising in business travel. Use the information given in Extract 3 and your own knowledge.

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END OF QUESTION PAPER